CONDITIONS OF SUBCONTRACT

Selected Commercial Clauses - Extract

Project	Precinct 8 Residential Development, Putrajaya
Works	Reinforced concrete works
Contractor	Pembinaan Bukit Timah Sdn Bhd
Subcontractor	Hiform (M) Sdn Bhd
Document	Extract of selected clauses

4. Written Instructions

4.1 Hiform shall comply with written instructions properly issued by PBT under the subcontract.

4.2 An instruction affecting scope, sequence or method shall be recorded in writing. Where an urgent oral direction is given, it shall be confirmed in writing before it is relied upon for valuation or time entitlement.

9. Variations

9.1 A variation shall be instructed or confirmed in writing by PBT. Hiform shall notify PBT of additional cost or time effect within 7 calendar days after receipt of the instruction.

9.2 Existing BQ rates apply where the varied work is of similar character and executed under similar conditions. Where no suitable rate exists, a reasonable new rate shall be agreed based on demonstrable labour, material, plant and overhead cost where practicable before certification.

9.3 Daywork may be used only where expressly directed in writing and supported by daily records signed by both parties.

13. Third-Party Completion and Back-Charge

13.1 If Hiform fails to comply with a written instruction within the period stated, PBT may engage others to execute the necessary work.

13.2 Except in an emergency affecting safety or protection of the works, PBT shall first issue written notice identifying the alleged failure and allow Hiform 7 calendar days to remedy a remediable default.

13.3 Any proposed back-charge shall describe the work taken over and include a reasonable cost breakdown. Reasonable additional cost caused by Hiform's failure may be recovered or deducted from sums otherwise due.

13.4 Hiform may dispute a back-charge. PBT is not required to obtain Hiform's agreement before making a deduction from a later certificate, provided the contractual notice and substantiation requirements are followed.

17. Suspension for Non-Payment

17.1 If a certified sum remains unpaid for more than 21 calendar days after its contractual due date, Hiform may give 7 calendar days' written notice of suspension.

17.2 If the certified sum remains unpaid after expiry of that notice, Hiform may suspend the affected works until payment is made. Hiform is entitled to reasonable time relief for a valid suspension under this clause.

18. Termination

18.1 Default termination. PBT may terminate for material default after written notice and a 7 calendar day cure period for a remediable breach.

18.2 Termination for convenience. PBT may terminate the subcontract for convenience on 14 calendar days' written notice.

18.3 On convenience termination, Hiform is entitled to payment for properly executed work, approved materials reasonably ordered for the works and not otherwise reusable, and reasonable demobilisation cost.

19. Payment Following Termination

Amounts properly due for completed work, approved materials and permitted demobilisation cost remain payable after termination, subject to substantiated deductions allowed under the subcontract.

20. Insurance

Hiform shall effect and maintain the insurances set out in the Project Insurance Schedule.